Impact of Credit Performance on the Profitability of Commercial Banks in Nepal

A Dissertation Proposal

Submitted by

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SAMPLE OF MBS DISSERTATION PROPOSAL

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Place

Table of Contents

SAMPLE OF MBS DISSERTATION PROPOSAL

1. Background of the study

Modern banking is an essential industry that operates within the periphery of the national as well as the international financial system. Financial systems allow funds to be allocated, invested, or moved between economic sectors. These are the core subjects of the credit performances and that activity involves credit risk to the financial institutions. Therefore, the health of national as well as global economy largely depends on a highly regulated financial system. Banking as a vital section of such system, Rose (2002) mentioned that it is one of the most heavily regulated businesses in the world.

Commonly, it can be argued that commercial banks are among the most important financial institution in the economy. Many authors use to argue that no institution has shaped the economic development of the world more than the bank. The general role of commercial banks is to provide financial services to general public, business, and companies, ensuring economic and social stability and sustainable growth of the economy. Therefore, bankers must have to work within the financial system to supply loans, accept deposits, and provide many other financial services to their customers. They must do so within a climate of extensive regulation, design primarily to protect the public interest (Rose, 2002). Regulation of banks aims at increasing the safety of the banking sector. One of the most important instruments is a capital adequacy regulation which relates a bank's equity to its exposure to risk on the asset side of the balance sheet.

The primary function of a commercial bank is the credit management. The activities associated with lending by the commercial banks relate to their credit performance. The Management of credit performance is not an easy job. There are incredible risks associated with the credit performance of commercial banks. Such risk is popular as "Credit Risk" in the banking industry. It is a situation of unexpected changes in the credit quality of counterparty. It is by far the most significant risk faced by banks and the success of their business depends on accurate measurement and efficient management of this risk. It is a risk of financial loss if a borrower or counterparty fails to honor commitments under an agreement and any such failure has an adverse effect on the financial performance of the bank. The capital adequacy is important to strengthen solvency of the banks and their protection from the adverse events. These frames of references are widely researched issues in the academia.

SAMPLE OF MBS DISSERTATION PROPOSAL

2. Statement of the problem

Different researchers have examined the impact of credit performances and related risks of the commercial banks on their return in varying dimensions with the sample from different country context. It is apparent that there are different measures of credit performances as well as banks return or profitability. Accordingly, the use of variables in the available work addressing credit performances and banks' profitability is also not consistent. As a result, there is a scant of unanimity in findings.

For instance, Kithinji (2010) found the bulk of the profits of commercial banks are not influenced by the credit risk, suggesting that additional variables other than the credit risk related variables impact on profits. On the other hand, based on the data from 2010 to 2015 of the selected sample commercial banks in Nepal, Bhattarai (2016) concluded that there is a significant relationship between bank performance and credit risk indicators. These are some of the examples of contrasting results that are available in the academia.

Furthermore, there is no evidence of study by taking the recent data, specifically related to the credit performances, of privately owned Nepalese commercial banks. Such a situation is the main reason of motivation for this study and basis of the identification of the problem. Hence, this study focuses to fill a gap, examining the impact of credit performances and their impact on the return of privately owned commercial banks in Nepal. Accordingly, following will be the specific research questions of this study.

I. What is the position of credit performance in the privately owned commercial banks operating in Nepal?
II. What is the existing status of profitability among the privately owned commercial banks of Nepal?
III. Does credit performance really matter to the commercial banks' profitability?

3. Objectives of the study

The main objective of this study will be to investigate the impact of credit performance on the return of commercial banks in Nepal. Accordingly, the specific objectives will be as follows:

SAMPLE OF MBS DISSERTATION PROPOSAL

I. To assess the credit performance of the privately owned commercial banks operating in Nepal.
II. To examine the status of profitability that privately owned commercial banks of Nepal are enjoying as a return.
III. To analyze the impact of credit performance factors, like, credit-deposit ratio (CDR), non-performing loan (NPL), and capital adequacy ratio (CAR) on the profitability of the commercial banks of Nepal.

4. Hypotheses

Based on the preliminary survey of literature on the subject, this study will be oriented toward testing the hypothesis as mentioned below:

H_1: Credit deposit ratio has a significant and positive effect on profitability of commercial banks.

H_2: Non-performing loan ratio has a significant and negative effect on profitability of commercial banks.

H_1: Capital adequacy ratio has a significant and positive effect on profitability of commercial banks.

5. Rationale of the Study

This study will help to extend the current knowledge and elimination of a gap in the corresponding literature. In particular, the study will make a good contribution to the existing knowledge in the academia. In addition, it will address on the subject of financial matters to solve the specific problem on the applied field of the banking industry. Therefore, the rationales of the study are listed as follows:

- Students are one of the important sections of the society. It is expected that the study report gives good insight to them, specifically to the students of business management and economics.
- Investors are good actors in the field of overall economy. They are much concerned with the risk and return of organizations. Therefore, this study can provide reliable information to them.

SAMPLE OF MBS DISSERTATION PROPOSAL

- There is a greater role of professionals in the banking industry. This study will closely associate to the part of their professional activities. Hence, the final report can serve as a reliable reference in their respective decision-making works.

6. Review of Literature

Tarbert (2001) had discussed in wider perspective about capital adequacy and Basel Capital Accord and stated that adequate capital is a necessary condition of solvent banks and solvent banks are fundamental to the world economy. Adequate bank capital is thus essential for a sound economy. Bank capital is a vital component of economic stability; it has become a subject of concern for financial regulatory bodies around the world.

As stated by Rose (2002), banks are financial service firms, producing and selling professional management of the public funds and performing many other roles in the economy. Basically, they try to maximize profits through loans and advances from the deposits. These activities are popularly known as bank credit. Commercial banks create credit by advancing loans and purchasing securities. However, commercial banks cannot use the entire amount of public deposits for lending purposes. They are required to keep a certain amount as reserve with the central bank. This is commonly known as cash reserve ratio (CRR). The higher the cash reserve ratio, the lesser is the amount of money available to banks for lending and investing activities.

On the other hand, the capital adequacy ratio (CAR) sets standards for banks by looking at a bank's ability to pay liabilities, and respond to credit risks and operational risks. Capital adequacy plays an important role in determining banking activities. There are many empirical evidences on the subject of the relationship between capital requirements and bank credit performances. Capital adequacy plays an important role in reducing the number of banks failures and losses to depositors. It plays a crucial role in reducing different risk components in the banking industry, and it is necessary to reduce a moral hazard and competitiveness.

Rose (2002) mentioned that credit risk is the danger of default by borrower to whom a bank has extended credit. Therefore, among others, non performing loan ratio and credit to deposit ratio are widely used indicators of bank credit risk. Bank capital and risk are intimately related each other. The main sources of credit risk include limited institutional

MBS DISSERTATION PROPOSAL

capacity, inappropriate credit policies, volatile interest rates, low capital and liquidity levels, massive licensing of banks, poor credit assessment.

Using the ROA and the ROE as proxies for bank profitability for the period of 1998 to 2007 from Kenyan banks, Mathuva (2009) revealed that bank profitability is positively related to the core capital ratio and the tier 1 risk-based capital ratio. This implies that an increase in the capital may raise expected earnings by reducing the expected costs of financial distress, including bankruptcy. While on the other hand, the study also found that there exist a negative relationship between the equity capital ratio and profitability. Therefore, the most important finding of Mathuva (2009) was that there were different effects of the various measures of capital adequacy on the profitability of the bank.

Bhattarai (2016) examined the effect of credit risk on the performance of Nepalese Commercial Banks using pooled data of 14 commercial banks for the period of 2010 to 2015. The author found that non-performing loan ratio has a negative effect on bank performance, whereas the cost per asset has a positive effect on bank performance. Moreover, the author concluded that there is a significant relationship between bank performance and credit risk indicators.

Pradhan and Shrestha (2017) examined the impact of capital adequacy and bank operating efficiency of the financial performance of Nepalese commercial banks using data from the period of 2005/06 to 2012/13. The result showed that total deposits to total asset and banks operating efficiency was the major variables determinant of financial performance of commercial banks in Nepal. Similarly, bank operating efficiency, loan ratio, total deposit to total assets, loan loss provision to total equity have a significantly positive impact on financial performance of commercial banks. Loan loss provisions to total loan, core capital ratio, risk-weighted ratio, total capital ratio have negative impact on financial performance of Nepalese commercial banks.

In the study, about the effect of capital adequacy and cost income ratio on the performance of Nepalese commercial banks by Pradhan and Parajuli (2017) found evidence for a positive relationship of bank size with ROA. It means, larger the banks, higher would be the ROA. Similarly, the study revealed that there was a positive relationship of debt to equity ratio with ROA. On the other hand, the study observed that there was a negative relationship of capital adequacy, cost income ratio, equity capital to

SAMPLE OF MBS DISSERTATION PROPOSAL

total assets ratio and liquidity ratio with ROA. This means that the higher the capital adequacy lower would be ROA. Similarly, the study observed that the higher the equity capital to total assets, lower would be the ROA. The result also showed that there is a positive relationship of capital adequacy, equity capital to total assets, bank size and debt to equity ratio with ROE. The study also indicated that higher the equity capital to assets, higher would be return on equity. Similarly, the study found that larger the bank, higher would be the ROE.

The aforesaid review represents only a preliminary survey of the relevant issue. On the basis of a review, it can be concluded that still there are some unsolved research issues on the proposed subject. Moreover, there is a scant of studies based on recent data. As many researchers emphasized the effects of credit performances relating the credit risk in different country context or with different variables. Hence, there exists a research gap and this study focuses to contribute to the existing knowledge in the subject based on the recent data. However, the previous studies cannot be ignored because they provide the foundation for the present study.

7. Research Methodology

The research methodology is a way to solve the research problem systematically and to fulfill the research objectives accordingly. This study plans the following methodological aspects.

7.1 Research design

A research design is the logical and systematic planning that specifies the procedures for collecting and analyzing data and information. To attain the purpose of this study, descriptive research design will be considered as an appropriate one. On the other hand, causal-comparative research method will be followed. The overall study plan will based on the quantitative approach of research.

7.2 Population and sampling procedure

This study will be based on the data collected from the annual reports of the sample commercial banks. The population of the study will be the “A” class commercial banks licensed by Nepal Rastra Bank. It is at present twenty-seven. Whereas, the study focuses on the purely private-sector commercial banks listed in the NEPSE. Presently, it is twenty-four, and the sampling frame will be considered accordingly. Based on the non-

SAMPLE OF MBS DISSERTATION PROPOSAL

random purposive sampling, twenty banks will be selected as a sample to collect data from the fiscal year 2015/016 to 2019/020 for each. The rationale behind the purposive sampling is to assure the heterogeneity in the sample.

7.3 Nature and sources of data collection

To fulfill the research objectives, most of the data will be collected from the secondary sources. The required data, as demanded by the study, will be collected through the published annual reports of the sample banks. On the other hand, some supporting information has been collected from the website of Nepal Rastra Bank and other official websites. The negligible information will be acquired from the primary sources.

The data will include time-series and cross-sectional data, i.e. pooled data set. The 5-years data (fiscal year 2072/2073 to 2076/2077) of sample banks will be considered, as a balanced panel data, for the study. Therefore, the total number of observation for the study will be one hundred.

7.4 Research framework and definition of variables

This study will be based on the schematic diagram as presented in Figure 1.

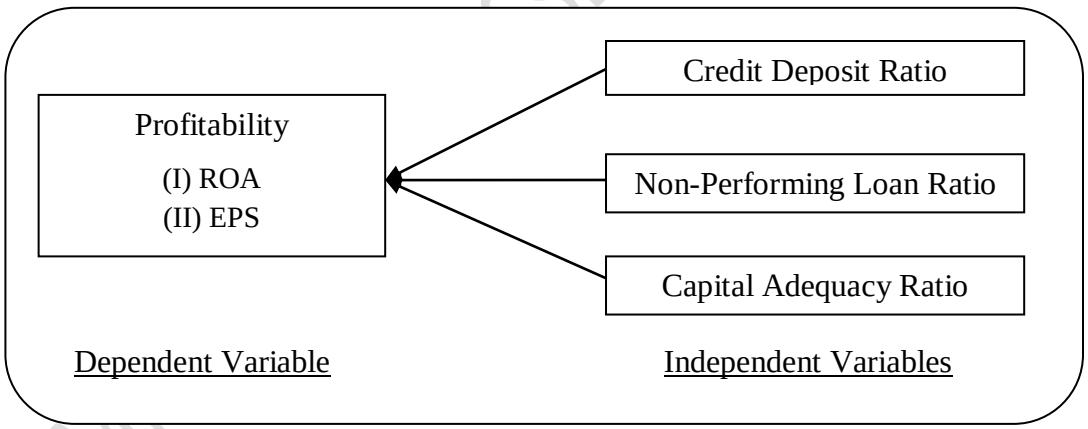


Figure 1. Schematic diagram of the theoretical framework.

Dependent variables

The important aspect of the study will be to analyze an impact of credit performance on the profitability. Therefore, dependent variables will be the proxies of profitability. Among the different aspects of profitability, as proxies, earnings per share and return on assets will be considered.

Return on assets (ROA): Return on assets is an indicator of how profitable a company is relative to its total assets. It gives a manager, investor, or analyst an idea as to how

efficient a company's management is using its assets to generate earnings. Thus, ROA is primarily an indicator of managerial efficiency.

Earnings per share (EPS): Earnings per share *(*EPS*)* are a company's net profit divided by the number of common shares it has outstanding. It indicates how much money a company makes for each share of its stock.

Independent variables

Credit deposit ratio (CDR): It is also known as **t**he loan-to-deposit ratio. It is used to assess a bank's credit risk as well as liquidity by comparing a bank's total loan to its total deposits for the same period.

Non-performing loan ratio (NPLR): A nonperforming loan ratio is the ratio of the amount of nonperforming loans in a bank's loan portfolio to the total amount of outstanding loans the bank holds. A nonperforming loan is a loan in which the borrower is the default and hasn't made any scheduled payments of principal or interest for some time. Any definition of a nonperforming loan will depend on the loan's particular terms and agreement.

Capital Adequacy Ratio (CAR): Capital adequacy ratios are a measure of the amount of a bank's capital expressed as a percentage of its risk weighted credit exposures. In other words, it is the ratio of a bank's capital in relation to its risk weighted assets and current liabilities.

7.5 Methods of analysis

To analyze the data of the variables, descriptive statistics will be used. Under the descriptive statistics, the central tendency will be measure through arithmetic mean. To understand the consistency, standard deviation and coefficient of variation will be used. Similarly, to observe the data nature in terms of normality, skewness and kurtosis will be considered. In addition, to analyze the phenomena, statistical graphics will also use as per the data nature. Correlation coefficients between the variables will also examine through the correlation matrix.

Similarly, to draw the statistical inferences multiple regressions will be applied. It is because; this study intends to draw the inferences about the effects of credit performance

SAMPLE OF MBS DISSERTATION PROPOSAL

on the return of the privately owned commercial banks in Nepal. All the statistical works will be performed through Microsoft Excel and SPSS version 20.0.

Models

The study will intend toward analyzing the effect of credit performances on profitability of the selected group of commercial banks in Nepal. Therefore, to analyze the impact and basic relationship functions, the regression equation will base on the model specified as:

$Y = \beta_0 + \beta X_{it} + \varepsilon_{it}$

Where Y represents the dependent variable; β_0 is the constant; β represents the coefficient of explanatory variables; X_{it} is the vector of explanatory variables, and ε_{it} is the error term. Adapting the basic model, following equations will be estimated.

$EPS_{it} = \beta_0 + \beta_1 CDR_{it} + \beta_2 NPL_{it} + \beta_3 CAR_{it} + \varepsilon_{it}$

$ROA_{it} = \beta_0 + \beta_1 CDR_{it} + \beta_2 NPL_{it} + \beta_3 CAR_{it} + \varepsilon_{it}$

Where,

EPS_{it} represents earning per share of bank *i* in year *t*;

ROA_{it} represents Return on assets of bank *i* in year *t*;

CDR_{it} represents credit deposit ratio of bank *i* in year *t*;

NPL_{it} represents non performing loan of bank *i* in year *t*;

CAR_{it} represents capital adequacy ratio of bank *i* in year *t*;

β_0 is the intercept (constant); β_1, β_2, and β_3 represent the corresponding slope which addresses the impact coefficients and ε_{it} represents the error term..

SAMPLE OF MBS DISSERTATION PROPOSAL

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SAMPLE OF MBS DISSERTATION PROPOSAL